

NEGOTIATIONS

BERND WITTENBRINK

CHICAGO BOOTH 

Day 4

Internal/External Negotiations

Edgewood Electric

Final Paper

Identify Practical Insights from the Course:

- Your In-Class Negotiations
- Class Discussions
- Readings

1. Analysis

2. Action

DUE: July 30, 2025
by end of day Hong Kong Time

Final Paper

Your paper should:

- Concentrate on selected course concepts. Fewer well-developed arguments are superior to many shallow arguments.
- Be based on your experiences with the in-class negotiations
- Involve both analysis and action
- Be prescriptive rather than descriptive
- Be concise: 1,250 word limit

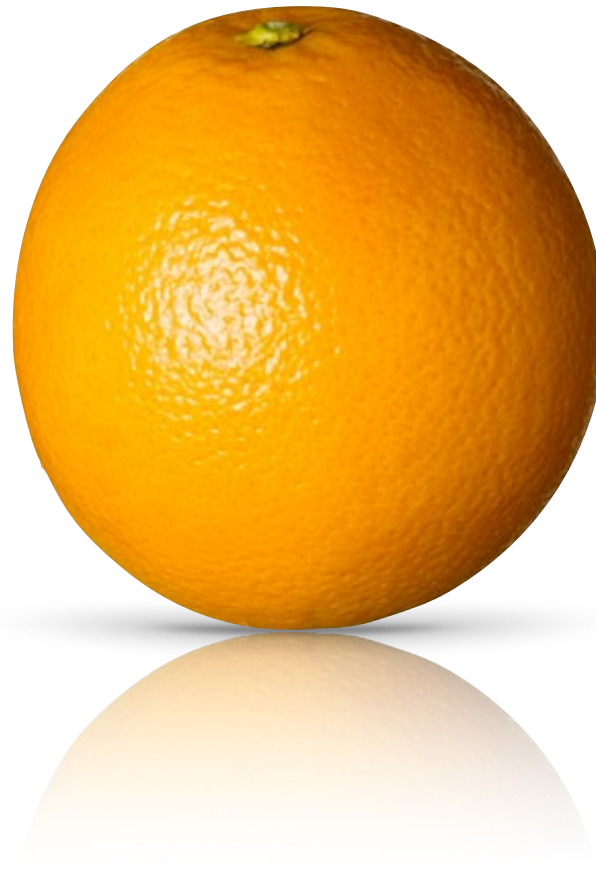
Negotiation

Four
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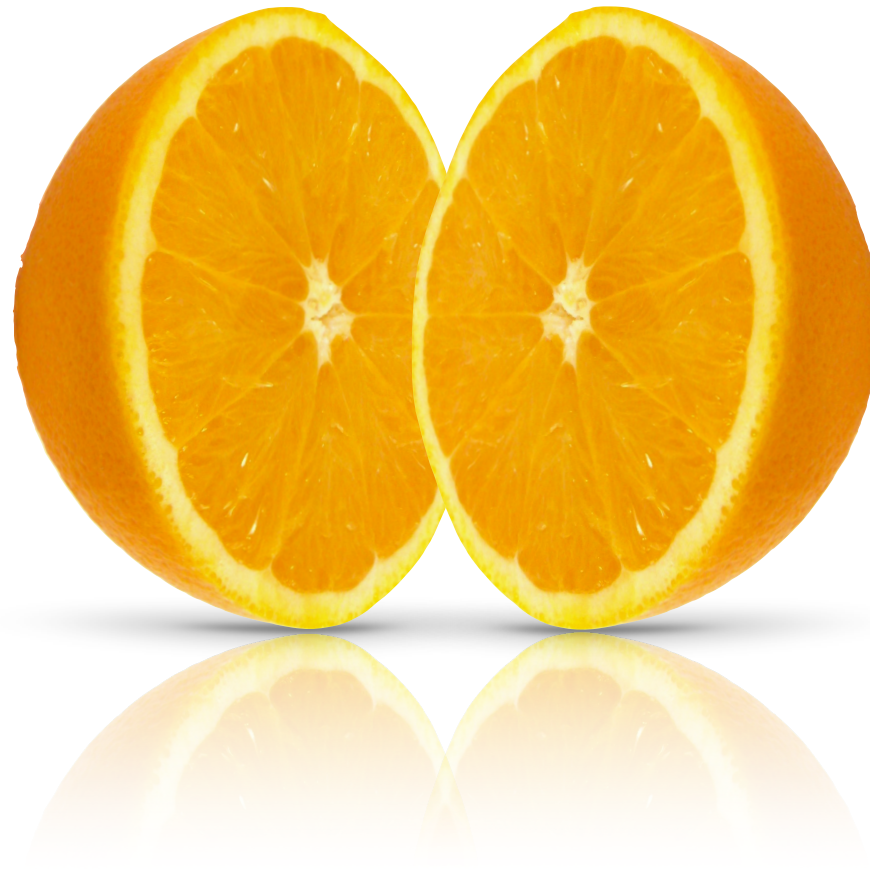


ON AIR

2 Sisters - 1 Orange



2 Sisters - 1 Orange



2 Sisters - 1 Orange



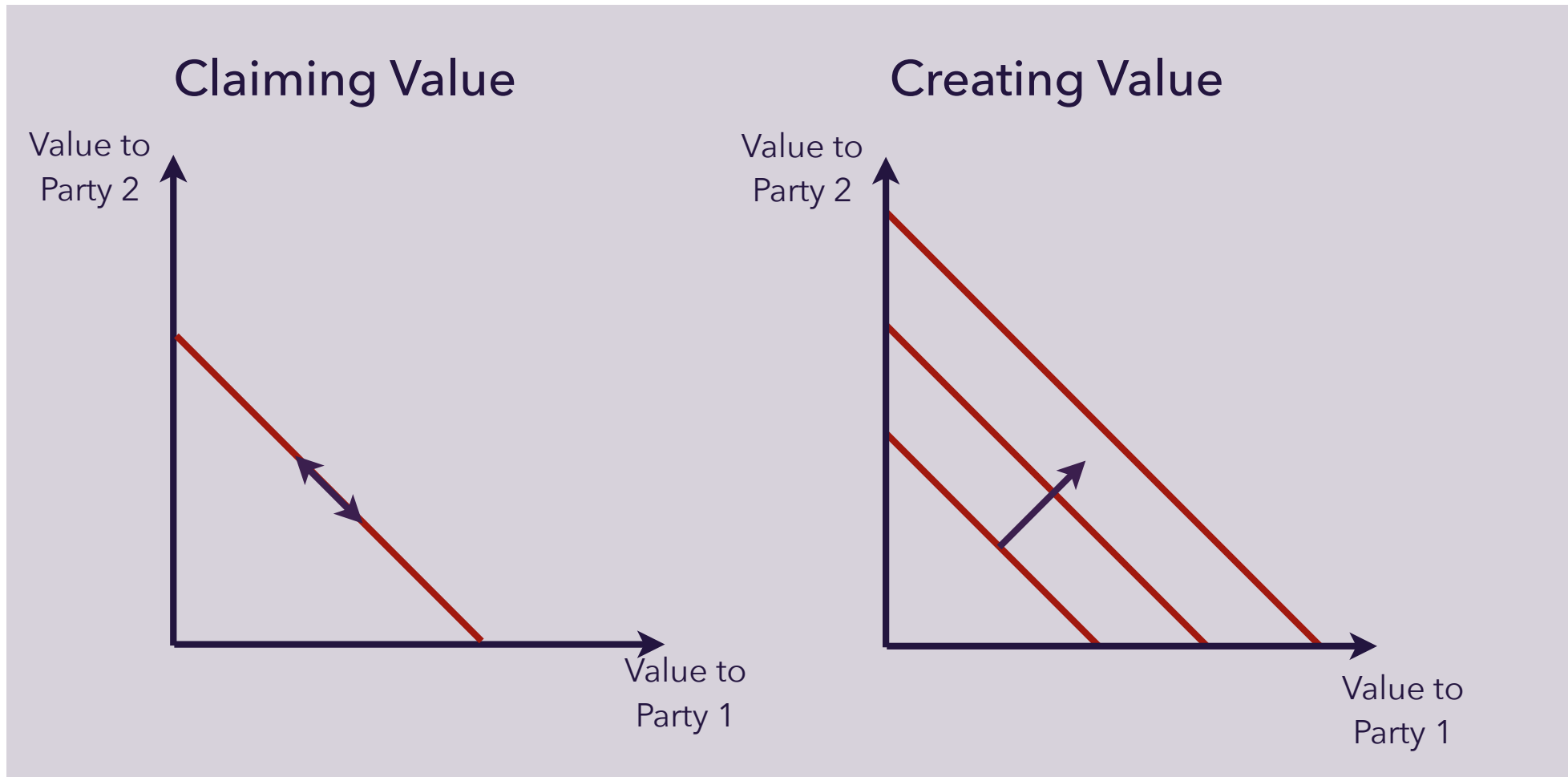
Preferences

Issues in a negotiation may be:

- **Distributive**
Parties have opposing preferences (i.e., zero-sum).
- **Compatible**
Parties have the same, complementary preferences.
- **Integrative**
Parties have opposing preferences, but the degrees to which their preferences differ varies across issues.

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Claiming vs. Creating Value



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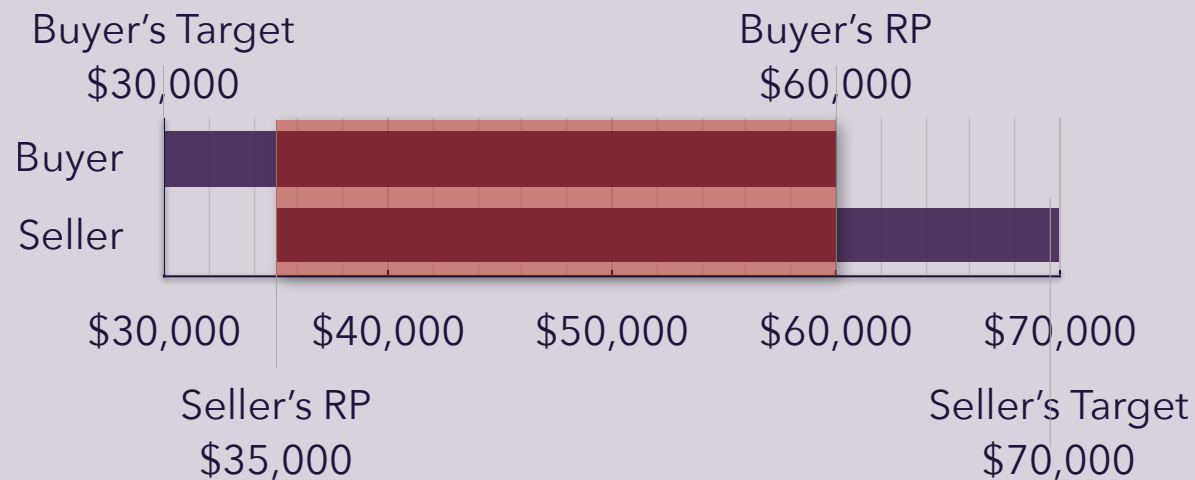
Non-Negotiable:	100 Episodes 5-Year Lease
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3 Key Issues to Resolve:	Price (Fee/Episode) Number of Runs Financing Terms
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Additional Issue:	JUNIORS
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Buyer & Seller Pricing Preferences



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	Taylor/Buyer	Schiller/Seller
Revenue	\$8.4 M	N/A
Price/Episode		
RP	\$60,000	\$35,000
Target	\$30,000	\$70,000
Runs/Episode Adjustment		
4	-\$1,600,000	\$500,000
5	-\$800,000	\$250,000
6	\$0	\$0
7	\$800,000	-\$250,000
8	\$1,600,000	-\$500,000
Financing Savings/Cost		
Year 1	10%	-20%
Year 2	20%	-35%
Year 3	30%	-50%
Year 4	40%	
Year 5	50%	
Juniors RP	\$20,000	\$10,000
External Offer	\$3.0 M	\$2.5 M

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	Taylor/Buyer	Schiller/Seller
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7	\$800,000	-\$250,000
8	\$1,600,000	-\$500,000
Financing Savings/Cost		
Year 1	10%	-20%
Year 2	20%	-35%
Year 3	30%	-50%
Year 4	40%	

- **Integrative Issues**

Parties have opposing preferences, but the degrees to which their preferences differ varies across issues.

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Creating Value / Integrative Bargaining

Runs/Episode	Taylor/Buyer	Schiller/Seller	Total
4	-\$1,600,000	\$500,000	-\$1,100,000
5	-\$800,000	\$250,000	-\$550,000
6	\$0	\$0	\$0
7	\$800,000	-\$250,000	\$550,000
8	\$1,600,000	-\$500,000	\$1,100,000

- A move from 6 to 8 runs can create \$1.1 M in total value.
- Find something for Schiller to make-up for the loss.

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Creating Value / Integrative Bargaining

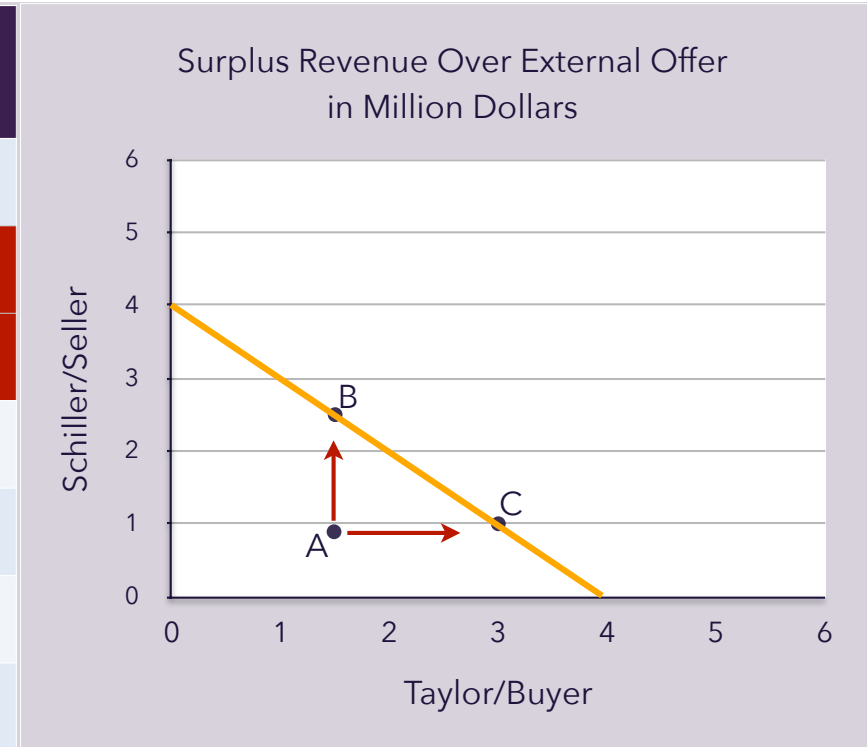
Year	Taylor/Buyer	Schiller/Seller	Total
0	-\$1	+\$1	\$0
1	$-\$1 / 1.1 =$	$+\$1 / 1.2 =$	
	-\$0.91	+\$0.83	-\$0.08

- At present, \$1 paid by Taylor is worth \$1 to Schiller.
- Taylor's discount rate is 10%
- Schiller's discount rate is 20%
- Moving \$1 into the future by 1 year, destroys \$0.08 in total value.

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Creating Value / Integrative Bargaining

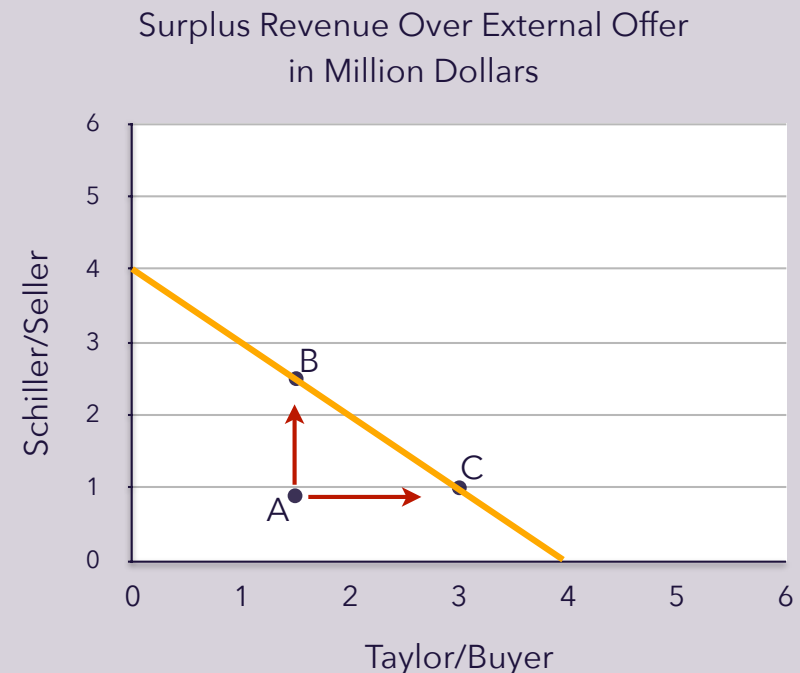
Outcome	Taylor/ Schiller	Price	# Runs	Financing	Other
A	1.49M / 0.99M	\$46,000	6	25% Year 0-3	
B	1.5M / 2.5M	\$55,000	8	100% Year 0	
C	3.0M / 1.0M	\$40,000	8	100% Year 0	



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Creating Value / Integrative Bargaining

- Trading off Runs/Episode & Financing is likely to yield better outcomes for both parties.
- **Max. Total Surplus: \$4M**

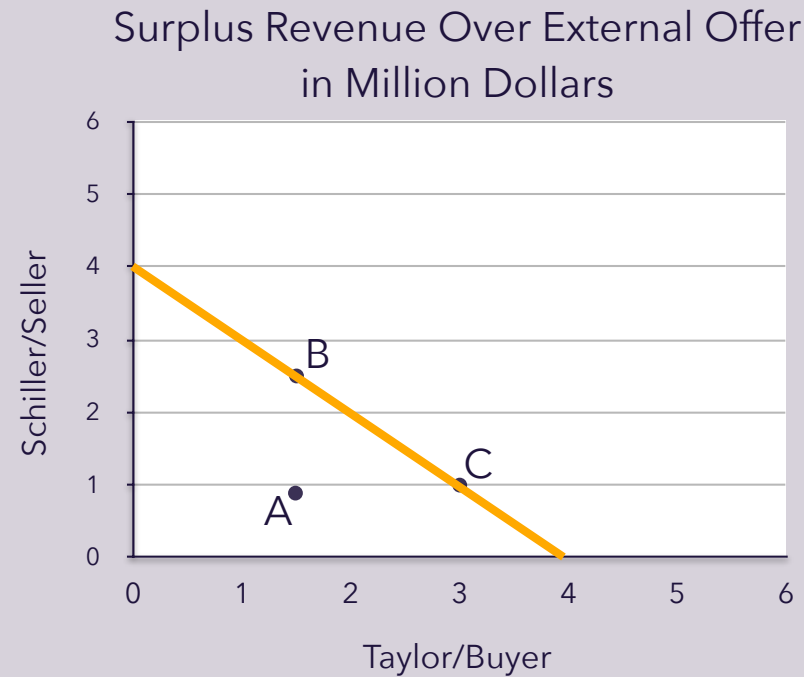


Pareto Efficiency

A solution is Pareto efficient if no party can obtain a better outcome without at least one other party being worse off

= A solution that distributes the maximum total value possible

Pareto Efficiency



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Creating Value / Integrative Bargaining

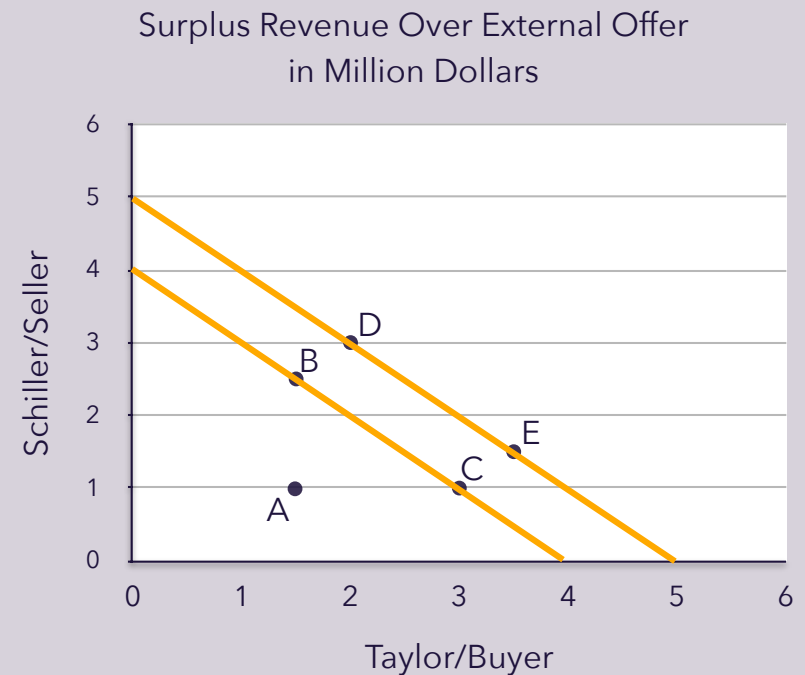
Adding *JUNIORS* to the deal

- Helps to build relationship
- Large ZOPA
 - Taylor's RP: \$20,000
 - Schiller's RP: \$10,000
- Creates additional resources to be distributed
 - Increases the pie
 - Can help you close an otherwise impossible deal.

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Creating Value / Integrative Bargaining

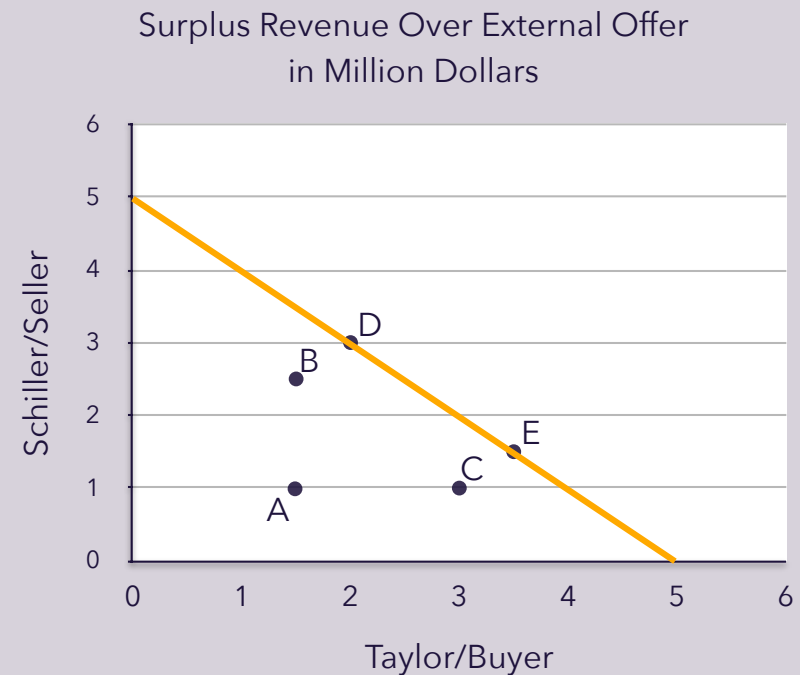
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B	1.5M / 2.5M	\$55,000	8	100% Year 0	
C	3.0M / 1.0M	\$40,000	8	100% Year 0	
D	2.0M / 3.0M	\$55,000	8	100% Year 0	Juniors (\$15K)
E	3.5M / 1.5M	\$40,000	8	100% Year 0	Juniors (\$15K)



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Creating Value / Integrative Bargaining

- *JUNIORS*
Potential Surplus:
100 episodes at:
 $\$20,000 - \$10,000 = \$1\text{M}$
- **Max. Total Surplus: \$5M**



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Creating Value / Integrative Bargaining

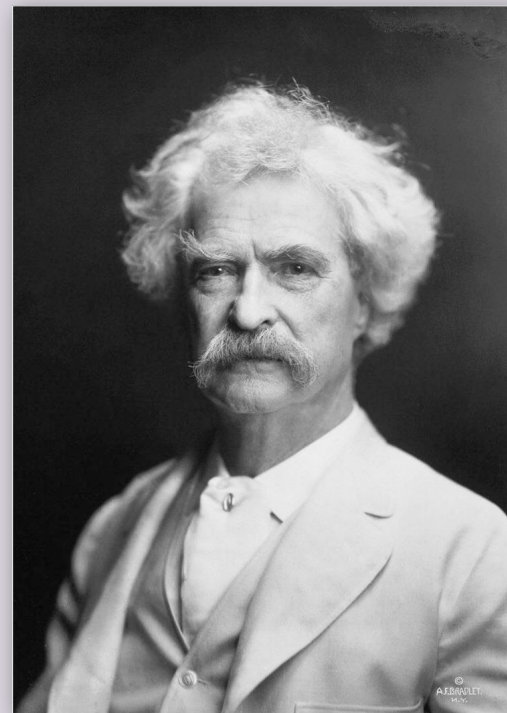
Estimated Ratings	Taylor/Buyer	Schiller/Seller
2-3	20%	10%
3-4	50%	10%
4-5	10%	10%
5-6	10%	50%
6-7	10%	20%

- Different expectations about future ratings
- Difficult to reconcile without further information

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Creating Value / Integrative Bargaining

"It is difference of opinion that makes horse-races."



Mark Twain, 1894

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Creating Value / Integrative Bargaining

Estimated Ratings	Taylor/Buyer	Schiller/Seller
2-3	20%	10%
3-4	50%	10%
4-5	10%	10%
5-6	10%	50%
6-7	10%	20%

- Different expectations about future ratings
- Difficult to reconcile without further information
- **Solution: Bet on your expectations!**

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Creating Value / Integrative Bargaining

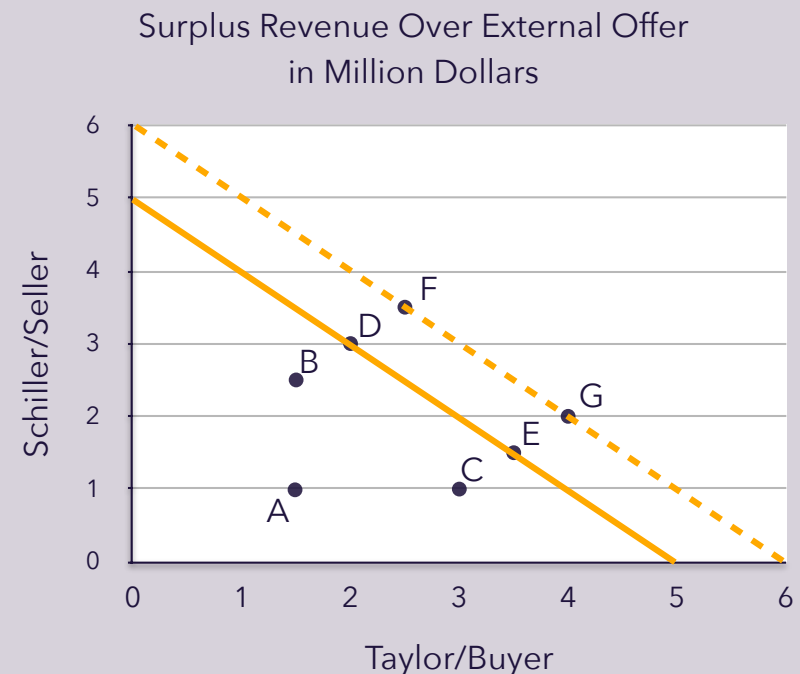
Estimated Ratings	Taylor/Buyer	Schiller/Seller
2-3	20%	10%
3-4	50%	10%
4-5	10%	10%
5-6	10%	50%
6-7	10%	20%

- If ratings < 4 Taylor receives \$1M rebate
- If ratings > 5 Taylor pays \$1M surcharge
- Expected value of this contingency:
 - Taylor: $0.7(\$1M) + 0.1(\$0) + 0.2(-\$1M) = \$500,000$
 - Schiller: $0.2(-\$1M) + 0.1(\$0) + 0.7(\$1M) = \$500,000$

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Creating Value / Integrative Bargaining

Outcome	Taylor/ Schiller	Price	# Runs	Financing	Other
A	1.49M / 0.99M	\$46,000	6	25% Year 0-3	
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C	3.0M / 1.0M	\$40,000	8	100% Year 0	
D	2.0M / 3.0M	\$55,000	8	100% Year 0	Juniors (\$15K)
E	3.5M / 1.5M	\$40,000	8	100% Year 0	Juniors (\$15K)
F	2.5M / 3.5M	\$55,000	8	100% Year 0	Juniors (\$15K) Bet on diff. exp.
G	4.0M / 2.0M	\$40,000	8	100% Year 0	Juniors (\$15K) Bet on diff. exp.



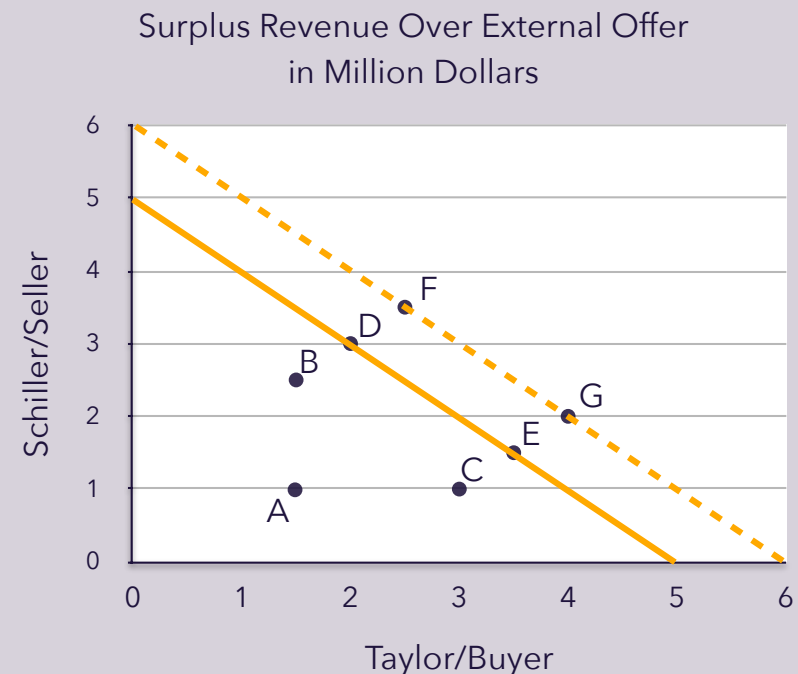
- Expected value of this contingency:
 - Taylor: \$500,000
 - Schiller: \$500,000

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Creating Value / Integrative Bargaining

- Contingency provision:
 - reconcile differences
 - keep the parties honest
 - reduce risk exposure
- **Max. Total Surplus: \$6M***

***Note:** Contingencies don't increase actual value.
They simply define the deal using alternative outcome expectations.



Strategic Advice

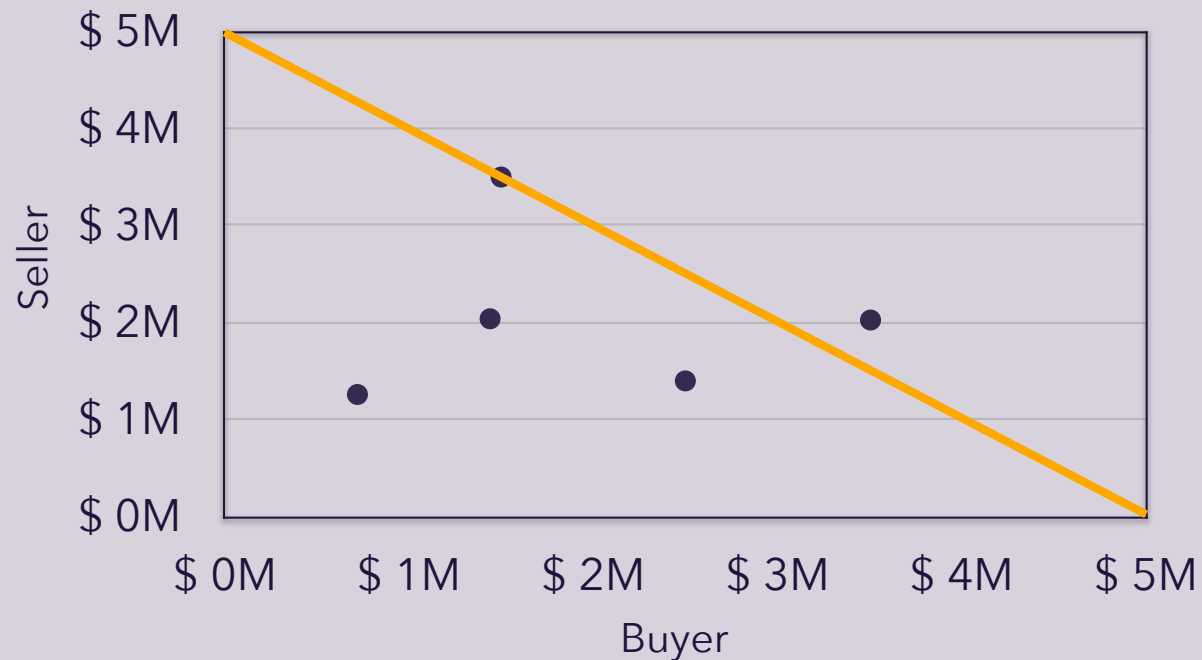
Integrative Negotiations / Value Creation / Teams

Contingency provisions require:

- **Continuing Interaction**
The exact outcome remains undetermined until after the agreement is settled.
- **Enforceability**
Don't bet if you can't collect.
Use escrow, insurance, or legal contracts
- **Transparency**
Future events must be observable and measurable
Neither side should be able to manipulate the outcome

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Expected Surplus Revenue Over External Offer
in Million Dollars



AXP-25

Strategic Advice

Integrative Negotiations / Value Creation / Teams

How to get information on their preferences:

- Build trust and share information
- Give away some information
- Ask lots of questions

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Communicating Preferences

- Suppose Schiller asks:
“How important is the financing to you?”
- To get the payment pushed back / receive more value in exchange for paying up front, Taylor has an incentive to exaggerate the discount rate.

Year	T's Discount Rate	Taylor/Buyer	S's Discount Rate	Schiller/Seller	Total
0		-\$1		+\$1	\$0
1	25%	$-\$1 / 1.1 =$	20%	$+\$1 / 1.2 =$	
		-\$0.80		+\$0.83	+\$0.03

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Communicating Preferences

- Misrepresentation / exaggeration of positions can lead you to burn money.

Year	T's Discount Rate	Taylor/Buyer	S's Discount Rate	Schiller/Seller	Total
0		-\$1		+\$1	\$0
1	25%	$-\$1 / 1.1 =$	20%	$+\$1 / 1.2 =$	
		-\$0.80		+\$0.83	+\$0.03

Misrepresentation risks losing value

If you misrepresent your preferences, you may miss opportunities for value creation.

THE BOTTOM LINE

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Communicating Preferences

- Now, suppose Taylor answers honestly.
- Learning about Taylor's true discount rate of 10%, Schiller has an incentive to downplay his/her own discount rate in order to hide the actual gain from an upfront payment.

Year	T's Discount Rate	Taylor/Buyer	S's Discount Rate	Schiller/Seller	Total
0		-\$1		+\$1	\$0
1	10%	$-\$1 / 1.1 =$	11%	$+\$1 / 1.11 =$	
		-\$0.91		+\$0.90	-\$0.01
		Loss = \$0.09		Gain = \$0.10	Gain = \$0.01

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Communicating Preferences

- Giving up accurate details can provide the other side with information that lets them claim all the value.

Year	T's Discount Rate	Taylor/Buyer	S's Discount Rate	Schiller/Seller	Total
0		-\$1		+\$1	\$0
1	10%	$-\$1 / 1.1 =$	11%	$+\$1 / 1.11 =$	
		-\$0.91		+\$0.90	-\$0.01
		Loss = \$0.09		Gain = \$0.10	Gain = \$0.01

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Communicating Preferences

- Suppose Taylor proposes 2 alternative deals, A and B: "Which package do you prefer?"
- Schiller's response reveals information about the relative costs of each issue.

Package	Price/Episode	# Runs	Financing	Schiller Profit
A	\$46,000	6	25% Year 0-3	\$0.89M
B	\$40,000	8	100% Year 0	\$1.0M

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Communicating Preferences

- Taylor proposes 2 additional deals, C and D:
"Do you prefer package C or D over B?
Which is best?"

Package	Price/Episode	# Runs	Financing	Schiller Profit
A	\$46,000	6	25% Year 0-3	\$0.89M
B	\$40,000	8	100% Year 0	\$1.0M
C	\$41,000	7	100% Year 0	\$1.35M
D	\$43,000	8	75% / 25%	\$1.08M

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Communicating Preferences

- Schiller's response tells you:
 - S prefers \$1,000 over choosing 8 instead 7 runs.
(i.e., runs not that important)
 - S will give up \$2,000/run for all the money up front

Package	Price/Episode	# Runs	Financing	Schiller Profit
A	\$46,000	6	25% Year 0-3	\$0.89M
B	\$40,000	8	100% Year 0	\$1.0M
C	\$41,000	7	100% Year 0	\$1.35M
D	\$43,000	8	75% / 25%	\$1.08M

Find a way to exchange accurate information!

Don't be afraid of providing information.
Only beware of doing so when the other side doesn't.

THE BOTTOM LINE

Strategic Advice

Integrative Negotiations / Value Creation / Teams

How to get information on their preferences:

- Build trust and share information
- Give away some information
- Ask lots of questions
- Make multiple offers simultaneously
- Search for post-settlement settlements

Strategic Advice

Integrative Negotiations / Value Creation / Teams

Team Negotiation: PRO

- Additional tactical options: Good cop/Bad cop
- Greater range of expertise and perspectives
- More ideas for solutions brought to the table
- Can handle complexity through role assignments
- Greater acceptance of negotiated agreements
- More perceived power

Strategic Advice

Integrative Negotiations / Value Creation / Teams

Team Negotiation: CON

- Groups are more competitive than individuals
- Groups trust each other less than individuals
- Groups are more likely to misrepresent than individuals
- Process Loss
 - Coordination
 - Motivation
 - Thinking

Negotiation

Five Edgewood Electric



Materials On Canvas

STRATEGIC ADVICE 3

Integrative Negotiations

SLIDES

Day 4

OPTIONAL READINGS

Keeney & Raiffa (1991): Analyzing Value

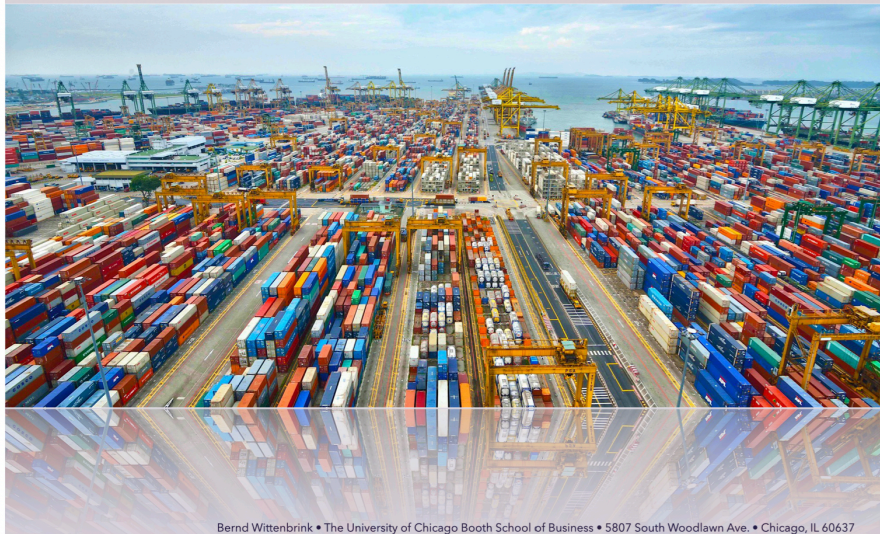
Bazerman et al. (1987): Post-Settlement Settlements

Bazerman & Gillespie (1999): Contingent Contracts

Tomorrow

Negotiation

Six Deepport



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NEGOTIATION
CHICAGO BOOTH 

Tomorrow

Negotiation

Six Deepport

- The Big One:
 - 6 Parties at the Table
 - Many Issues

Tomorrow

PREPARE

- Your Negotiation Assignment
 - **Deeport**
or
Environment
or
Federal DCR
or
Governor
or
Other Ports
or
Union

TURN IN

- Preparation Worksheet